

4-7c Step 3. Enter the Adjustments

The adjustments for NetSolutions from Chapter 3 are entered in the Adjustments columns, as shown in Exhibit 22. Cross-referencing (by letters) the debit and credit of each adjustment is useful in reviewing the spreadsheet. It is also helpful for identifying the adjusting entries that need to be recorded in the journal. This cross-referencing process is sometimes referred to as *keying* the adjustments.

Exhibit 22

Spreadsheet with Unadjusted Trial Balance and Adjustments

	A	B	C	D	E	F	G	H	I	J	K
1				NetSolutions							
2				End-of-Period Spreadsheet							
3				For the Two Months Ended December 31, 20Y3							
4		Unadjusted				Adjusted					
5		Trial Balance		Adjustments		Trial Balance		Income Statement		Balance Sheet	
6	Account Title	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
7											
8	Cash	2,065									
9	Accounts Receivable	2,220		(d) 500							
10	Supplies	2,000			(a) 1,240			The adjustments on the spreadsheet are used in preparing the adjusting journal entries.			
11	Prepaid Insurance	2,400			(b) 200						
12	Land	20,000									
13	Office Equipment	1,800									
14	Accum. Depr.—Office Equip.				(f) 50						
15	Accounts Payable		900								
16	Wages Payable				(e) 250						
17	Unearned Rent		360	(c) 120							
18	Common Stock		25,000								
19	Dividends	4,000									
20	Fees Earned		16,340		(d) 500						
21	Rent Revenue				(c) 120						
22	Wages Expense	4,275		(e) 250							
23	Supplies Expense	800		(a) 1,240							
24	Rent Expense	1,600									
25	Utilities Expense	985									
26	Insurance Expense			(b) 200							
27	Depreciation Expense			(f) 50							
28	Miscellaneous Expense	455									
29		42,600	42,600	2,360	2,360						
30											

The adjustments are normally entered in the order in which the data are assembled. If the titles of the accounts to be adjusted do not appear in the unadjusted trial balance, the accounts are inserted in their proper order in the Account Title column.

The adjusting entries for NetSolutions are entered in the Adjustments columns as follows:

- (a) Supplies. The supplies account has a debit balance of \$2,000. The cost of the supplies on hand at the end of the period is \$760. The supplies expense for December is the difference between the two amounts, or \$1,240 ($\$2,000 - \760). The adjustment is entered as (1) \$1,240 in the Adjustments Debit column on the same line as Supplies Expense and (2) \$1,240 in the Adjustments Credit column on the same line as Supplies.
- (b) Prepaid Insurance. The prepaid insurance account has a debit balance of \$2,400. This balance represents the prepayment of insurance for 12 months beginning December 1. Thus, the insurance expense for December is \$200 ($\$2,400 \div 12$). The adjustment is entered as (1) \$200 in the Adjustments Debit column on the same line as Insurance Expense and (2) \$200 in the Adjustments Credit column on the same line as Prepaid Insurance.
- (c) Unearned Rent. The unearned rent account has a credit balance of \$360. This balance represents the receipt of three months' rent, beginning with December. Thus, the rent revenue for December is \$120 ($\$360 \div 3$). The adjustment is entered as (1) \$120 in the Adjustments Debit column on the same line as Unearned Rent and (2) \$120 in the Adjustments Credit column on the same line as Rent Revenue.
- (d) Accrued Fees. Fees accrued at the end of December but not recorded total \$500. This amount is an increase in an asset and an increase in revenue. The adjustment is entered as (1) \$500 in the Adjustments Debit column on the same line as Accounts Receivable and (2) \$500 in the Adjustments Credit column on the same line as Fees Earned.
- (e) Wages. Wages accrued but not paid at the end of December total \$250. This amount is an increase in expenses and an increase in liabilities. The adjustment is entered as (1) \$250 in the Adjustments Debit column on the same line as Wages Expense and (2) \$250 in the Adjustments Credit column on the same line as Wages Payable.
- (f) Depreciation. Depreciation of the office equipment is \$50 for December. The

adjustment is entered as (1) \$50 in the Adjustments Debit column on the same line as Depreciation Expense and (2) \$50 in the Adjustments Credit column on the same line as Accumulated Depreciation—Office Equipment

After the adjustments have been entered, the Adjustments columns are totaled to verify the equality of the debits and credits. The total of the Debit column must equal the total of the Credit column.

Chapter 4: The Accounting Cycle: 4-7c Step 3. Enter the Adjustments
Book Title: Financial and Managerial Accounting
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